Evaluating the Master's Degree in Accounting

By Ryan Stoklosa

How licensure requirements, degree trends, and professional preparation can help accounting students evaluate their options

Picture a first-year accounting student leaving a campus recruiting event. After meeting with recruiters and hearing about different career paths, the student still has one question: Should they pursue a master's degree?

For a student looking at another year of tuition and a later start to full-time work, this decision can be difficult. A master's degree may provide valuable preparation, but students also need to understand what it would mean for their own goals and circumstances.

Just as financial statements require looking beyond the bottom line, evaluating an educational path requires looking beyond the degree itself. This article explores three areas to help accounting students make that decision:

1. Understanding the 150-hour Certified Public Accountant (CPA) standard

2. Considering accounting degree trends and career options

3. Shaping professional identity and technical readiness

By understanding these areas, students can better compare their options and decide which path is right for them.

Understanding the 150-hour standard

Recent changes to CPA licensure requirements have given accounting students more than one educational path to consider. A bachelor's degree typically includes 120 credit hours, while completing a master's degree afterward often brings the total to 150 or more. While 150 credit hours was previously required in all states, many have recently changed their regulations to allow for CPA eligibility after completing just a bachelors degree. In states that offer both pathways, students can become CPAs through either route by passing the CPA Exam and meeting the state's coursework and work-experience requirements.

The journal CPA Credits explains why the profession originally supported additional education requirements:

"In 1988, the AICPA membership voted overwhelmingly to support the 150-hour requirement... The rule was designed to align the accounting profession with other fields, such as law and medicine, which required advanced education. It also aimed to elevate the CPA credential's prestige by ensuring candidates had a robust academic foundation."[1]

The vote reflected a desire to give future CPAs a stronger academic foundation. That purpose remains useful for students today. They can consider what additional coursework would teach them and how it would prepare them for the work they hope to do.

Students should also distinguish eligibility to sit for the CPA Exam from eligibility to receive a Certified Public Accountant license. Before planning additional coursework, they should check the education and experience requirements in the state where they intend to become licensed.

With those requirements in mind, students can look more closely at accounting degree trends and their own career options.

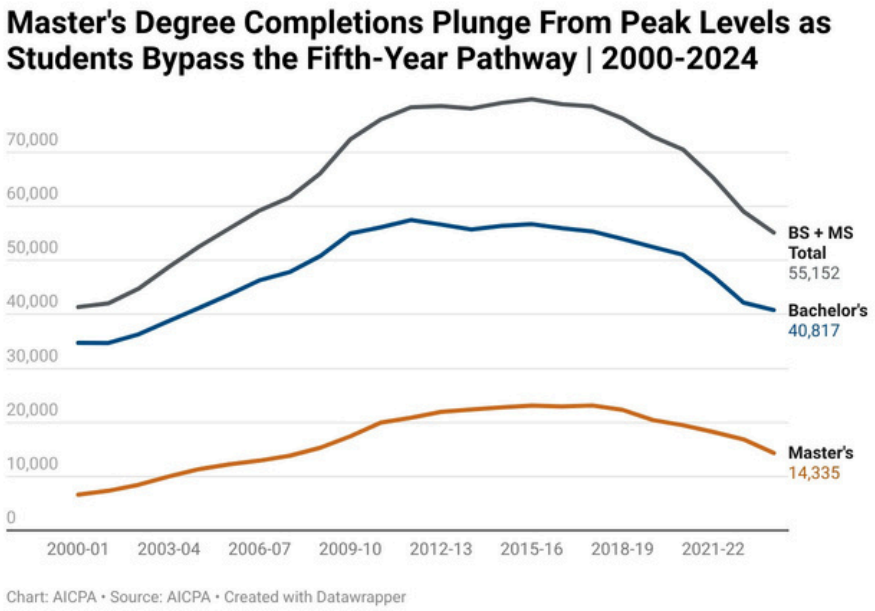
Balancing degrees and career options

Understanding accounting degree trends can help students ask better questions about their future.

FIGURE 1 ACCOUNTING DEGREE COMPLETIONS

According to the AICPA's 2025 Trends Report, master's degree completions in accounting declined 15% in the 2023–2024 academic year, following a previous 7.6% drop. Figure 1 shows 14,335 master's completions and 40,817 bachelor's completions in 2023–2024.[2]

Both lines have declined from earlier peaks. This gives students a clearer picture of how completing an accounting degree could be more useful now than ever before.



Students are considering these options as Americans' views of college are also changing. According to Gallup, 35% of adults in 2025 considered a college education "very important," compared with 75% in 2010.[3] This broader shift makes questions about the cost and value of education especially relevant to students planning their future.

The reasons behind accounting enrollment changes deserve attention as well. Reger and Rozell explain in The Journal of Theoretical Accounting Research:

> *"While academics and practitioners may postulate on the other factors resulting in MAcc enrollment declines, there is a deficiency of research to support these theories and a lack of research revolving around MAcc programs in general."*[4]

Together, Figure 1 and this discussion explain that accounting degree completions are dropping along with young adults desire to receive higher education. While we may not know exactly why that is, we can now better understand the changes to CPA requirements that allow for more flexibility for accounting students.

What does this mean for the average accounting student? Tuition, the need to begin working, and long-term career interests all deserve more attention now than they did before when comparing educational paths.

For students who have already committed to accounting, the decision becomes more personal. Meeting CPA requirements is one concern. Deciding whether graduate school offers the preparation they want is another. Understanding both can help students avoid making a decision simply because it seems to be the usual path.

Recruiting events provide an opportunity to gather information about these choices. Students can ask which roles are open to bachelor's graduates, how employers view a master's degree, and what training or CPA support is available after they begin working.

As they learn more, students can compare what they would gain from another year in school with what they could learn through work. The next section looks at how education can contribute to that preparation.

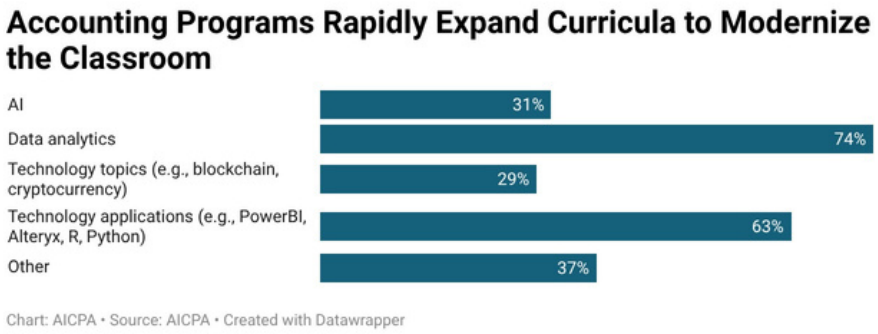
How education prepares future accountants

Additional coursework can help students develop technical skills and explore the work they want to do.

The AICPA's 2025 Trends Report shows how accounting programs are changing their curricula. In Figure 2, reported additions include data analytics at 74%, technology applications at 63%, AI at 31%, and other technology topics at 29%.[5]

Data analytics and software applications stand out. For aspiring accountants, these changes provide a useful starting point for understanding the skills their education can help them develop.

FIGURE 2 ACCOUNTING CURRICULUM CHANGES



There are many things that accountants must learn through experience. At the same time, coursework can give students a foundation they can build on when they begin working. Figure 2 gives them specific areas to discuss with an adviser, including the use of accounting data and technology in their classes.

Research on CPA exam performance offers another reason to consider additional education. After studying the 150-hour requirement, Raghunandan, Read, and Brown wrote in Managerial Auditing Journal:

> *"We interpret the results as indicating that there are benefits to students and to CPA firms and their audit clients from the 150-- hour requirement. The benefit to students arises from the higher success rate in the CPA exam. The benefits to CPA firms arise, among other reasons, from the fact that a smaller proportion of new hires will have to quit public accounting because of their not successfully passing the CPA exam."*[6]

Their findings give students a reason to look carefully at the preparation available through additional study.

The study evaluates the 150-hour requirement rather than a master's degree alone. Its value for students is the connection it identifies between additional education and exam performance. When comparing paths, students can consider which coursework would strengthen their understanding and support their CPA preparation.

How education shapes identity

Professional preparation also involves deciding what kind of accountant a student wants to become. Interests in audit, tax, or another area can help students identify the courses and experiences that would be most useful to them.

Graduate study may provide time to explore these interests, practice explaining accounting decisions, and build confidence in a chosen field. Students should examine what a particular program offers and how those opportunities fit their goals.

Some students will value graduate study, while others may prefer beginning work and learning through experience. Comparing the content of each path helps students connect their education with their career goals.

Making the final decision

Each student can compare the requirements, costs, and opportunities, then decide which educational path fits their future.

Return to the student leaving the recruiting event. The question about a master's degree is still important, but the student now has a clearer way to approach it. CPA requirements, educational opportunities, and personal goals all belong in the same decision.

In a 1979 study published in Academy of Management Journal, Sam Gould found a positive correlation between career planning and career success.[7] His findings support taking time to think about the future and choosing a path that fits it.

Before registering for the next semester, students can prepare a one-page comparison of their options. That comparison should include:

- The CPA requirements in their intended state
- Tuition and fees after scholarships
- The effect on when they can begin full-time work
- Courses and experiences that support their career goals

An adviser and conversations with recruiters can help students check the information in that comparison. They can then ask the question that matters most: "Where do I want to be in 20 years and which educational path will help me to get there?"

As students ask better questions and do more research, they can move forward with greater confidence. A master's degree may be the right choice for one student, while another may find a different eligible path more suitable. Each student must make the final decision for themselves.

Notes

1. CPA Credits, "The Evolution of the 150-Hour Rule for CPA Licensure," May 15, 2025, https://www.cpacredits.com/resources/the-evolution-of-the-150-hour-rule-for-cpa-licensure/.

2. AICPA, *2025 Trends: A Report on Accounting Education, the CPA Exam, and Public Accounting Firms' Hiring of Recent Graduates* (2025), 5, 9, https://www.aicpa.com/professional-insights/download/2025-trends-report.

3. Lydia Saad, "Perceived Importance of College Hits New Low," Gallup, September 11, 2025, https://news.gallup.com/poll/695003/perceived-importance-college-hits-new-low.aspx.

4. Elizabeth A. Reger and Elizabeth J. Rozell, "The Master of Accountancy: Understanding Factors Influencing Intentions and Behaviors toward Accounting Graduate Education," *The Journal of Theoretical Accounting Research* 19, no. 1 (2023): 105, https://www.math.wm.edu/~leemis/2023jtar.pdf.

5. AICPA, *2025 Trends*, 10.

6. K. Raghunandan et al., "The 150-Hour Rule: Does It Improve CPA Exam Performance?" *Managerial Auditing Journal* 18, no. 1 (2003): 31–38, https://doi.org/10.1108/02686900310454174.

7. Sam Gould, "Characteristics of Career Planners in Upwardly Mobile Occupations," *Academy of Management Journal* 22, no. 3 (1979): 539, https://doi.org/10.5465/255743.

ChatGPT was used for the formatting of this article. It was also used for revising grammar and tone.



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Ryan Stoklosa is a Brigham Young University pre-business student in Provo, Utah. He enjoys spending time with his friends and family, reading, and disc golf. He is looking to graduate from BYU with an accounting degree and plans to be CPA eligible by May 2031.

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